

FRVO

FRVO N/A

|      |                 |                             |                                    |                       |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|
| Hold | \$27.79 ▼ 4.40% | 12M Price Target<br>\$38.00 | 52-Week Range<br>\$27.26 – \$42.65 | Market Cap<br>\$8.19B |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|

FRVO: Geothermal Darling Hits 52-Week Low Despite AI Tailwinds

WHAT HAPPENED

- FRVO just hit a fresh 52-week low at \$27.79, down 14% in five trading days — that's ugly, especially when Utilities as a sector were UP 2.2% today. When a stock craters while its sector rallies, the market is telling you something specific is wrong with THIS name, not the group.
- The proximate cause looks like that June 22 earnings miss (the "Bill Gates-backed" headline) which kicked off the slide, and the selling has snowballed even as genuinely good news dropped — the Nvidia/PNNL geothermal digital twin partnership and RBC confirming the 33 MW Utah project is on track. Good news isn't sticking, which is a bearish tape signal in the short term.

WHY IT MATTERS

Here's what I think is happening: FRVO is caught in the ugly middle of a development-stage energy story — the AI power demand narrative is real (Bloomberg literally wrote about "AI's energy crunch" last week), but investors are losing patience waiting for revenue to actually show up. The fact that the stock is at 3% of its 52-week range while options flow is bullish (0.54 put/call ratio — meaning traders are buying more upside bets than downside protection) tells me smart money sees this as capitulation, not a broken thesis. The Nvidia partnership is genuinely a big deal — it validates geothermal as an AI data center power solution, which is the entire long-term bull case — but the market wants MW online and cash flow, not press releases. Watch for either a bounce off this level (if the sellers are exhausted) or a break below \$27 that triggers another leg down to the low \$20s.

POLICY & POLITICAL WATCH

The big policy angle here is the Inflation Reduction Act geothermal tax credits (Section 45 and 48 ITCs) — geothermal gets treated like solar/wind for federal tax credits, which is worth potentially hundreds of millions to FRVO's project economics. The risk: any GOP-led budget reconciliation that trims IRA clean energy credits directly hits FRVO's project IRRs (internal rate of return — basically how profitable each geothermal well is). On the flip side, there's real bipartisan support for geothermal specifically because it's baseload power (runs 24/7, unlike solar) and it plays well with the "energy dominance" framing — the recent Energy Act permitting reforms for geothermal on federal land are a direct tailwind since a lot of Fervo's acreage is BLM land in Nevada and Utah.

IS IT EXPENSIVE?

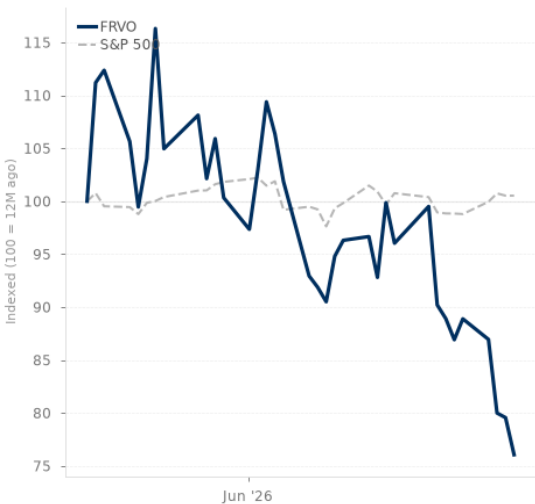
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$27.79  |
| 12M Price Target    | \$38.00  |
| Upside / (Downside) | +36.7%   |
| Market Cap          | \$8.19B  |
| FY2026E Revenue     | \$285M   |
| FY2027E Revenue     | \$520M   |
| FY2026E EPS         | (\$1.85) |
| FY2027E EPS         | (\$1.20) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$33.00   | \$29.00   | \$24.00   |
| 6 Months  | \$42.00   | \$34.00   | \$22.00   |
| 1 Year    | \$55.00   | \$38.00   | \$20.00   |
| 2 Years   | \$75.00   | \$50.00   | \$18.00   |
| 5 Years   | \$130.00  | \$80.00   | \$15.00   |
| 10 Years  | \$250.00  | \$140.00  | \$10.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Healthcare (+2.6%) and Utilities (+2.2%) — classic defensive rotation, suggesting investors are getting nervous about growth/tech and hiding in cash-flowing sectors. Utilities specifically benefiting from the AI power demand narrative.

**COOLING OFF:** Megacap tech and software (per the June 22 Barchart note) — a bit of profit-taking after a huge run, and that spillover is hurting speculative AI-adjacent names like FRVO.

**ROTATION WATCH:** Money is moving from "AI picks and shovels" (chips, software) into "AI infrastructure" (power, cooling, data centers) — this SHOULD help FRVO, but the market wants profitable infrastructure plays right now, not development-stage ones.

**RELATED PLAY:** If you like the geothermal-for-AI thesis but want less risk, look at Ormat Technologies (ORA) — profitable, dividend-paying, established geothermal operator. Less upside, way less downside.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas power play for AI data centers — profitable, riding the exact same power-hungry AI thesis but with actual earnings.
- CEG (Constellation Energy): Same trade — nuclear baseload, hyperscaler contracts, and it's making money right now.

**FRVO CONTEXT:** FRVO is badly lagging its power-for-AI peers, which tells me the market is discriminating between "profitable AI power" and "someday-profitable AI power." Until Fervo shows revenue traction, it'll trade like a biotech waiting on a drug approval — binary and volatile.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$26 or below (near 52-week low)

**Time Horizon:** 18-36 months

**Thesis Invalidation:** Cape Station project delays beyond 2026 or a dilutive equity raise below \$30

**Hedging:** Pair with a profitable utility (NEE, VST) to offset development-stage risk